

UPDATES

Below please find a summary of updates for the Flex NonQM Matrices for rate-locks and new applications submitted effective on or after **September 10, 2025 V1**.

MATRICES – Updated as follows:

- **All Matrices are also included in the Program Section of the Underwriting Guidelines except the Geographic Restrictions** (which is in the General Guidelines and the “grid” or hard guidelines i.e. Credit Score / Loan Amount / LTV requirements).
- **Flex Supreme** – Updated as follows:
 - **Credit Score:** the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner.
 - **Business/Co-Mingled Bank Statements:** the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%.
 - **IRS Form 1099:** added the 1 Year documentation option for 1099 Income.
- **Flex Select** – Updated as follows:
 - **Credit Score:** the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner.
 - **P&L with 2+ months Bank Statements:** added PTIN to eligible provider.
 - **P&L Only:**
 - All borrowers must have a minimum credit score of 700.
 - Added PTIN to eligible provider.
 - **Business/Co-Mingled Bank Statements:** the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%.
- **Super Jumbo** – Updated as follows:
 - **Business/Co-Mingled Bank Statements:** the minimum expense ratio provided by a CPA or EA has increased from 10% to 20%.
- **Select ITIN** – Updated as follows:
 - **Credit Score:** the minimum score for additional borrower has increased from 540 to 600 when not the primary wage earner.
- **Foreign National** – Updated as follows:
 - **Full Doc Income Requirements:** for wage earners and self-employed borrowers, an unaffiliated certified translator must translate all documents.
 - **Property Types:** Rural Properties are not permitted
 - **Appraisals:** although C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.
 - **Insurance:** Rent Loss Insurance may be waived with three additional months of PITIA reserves.
- **Second Lien Select** – Updated as follows:
 - **Credit Score:** the minimum score for additional borrower has increased from 540 to 620 when not the primary wage earner.
- **DSCR Supreme** – Updated as follows:
 - **Credit Score:** the representative score is the lowest middle score of all borrowers.
 - **Insurance:** Rent Loss Insurance may be waived with three additional months of PITIA reserves.
 - **Appraisals:** although C3 condition rating is generally required; Properties with

a C4 rating must be sufficiently justified to determine marketability and acceptance.

- **Investor DSCR** - Updated as follows:
 - Removed DSCR No Ratio.
 - **Insurance Requirements:** Rent Loss Insurance may be waived with three additional months of PITIA reserves.
 - **Appraisals:** although C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.
- **Investor DSCR No Ratio** – NEW standalone Program Matrix:
 - **Insurance Requirements:** Rent Loss Insurance may not be waived with additional months of PITIA reserves.
 - **Appraisals:** although C3 condition rating is generally required; Properties with a C4 rating must be sufficiently justified to determine marketability and acceptance.

UNDERWRITING GUIDELINES – Updated as follows:

- The Guide has undergone a makeover from an organizational, naming convention and overall streamlining standpoint. The guidelines have been recreated into essentially 3 sections:
 - **Intro / Governing Statements**
 - **Programs**
 - Mirrors the matrices except the Geographic Restrictions (which is in the General Guidelines and the “grid” or hard guidelines i.e. Credit Score / Loan Amount / LTV requirements.
 - **General Guidelines**
- **Geographic Restrictions:** These restrictions were previously announced but were not updated in the Guidelines.
 - New York State:
 - Effective July 29, 2025, permitted for Correspondents only. Ineligible for Wholesale.
 - July 2, 2025, investment properties including DSCR are not permitted in the following locations:
 - Brooklyn NY
 - Lubbock, TX
 - Patterson, New Jersey
 - Charlotte, Lee, Hendry, and Glades counties, Florida
 - Indianapolis, Indiana
 - Washington, D.C.
 - All Occupancies are not permitted in the following locations:
 - Orange County, New York
 - Cook County, Illinois
 - Baltimore City, Maryland
- **Daily Simple Interest:** Loans where interest calculated based on daily simple interest are not eligible on any of our Programs.
- **Cash-Out Refinance (C/O):** while maintaining the property is an acceptable use for Cash Out Refinance proceeds, major renovations or rehabs, tear downs etc., are not

permitted on the subject property that could deem the property uninhabitable.

- **Flip Transactions:** New construction by a production builder is considered a flip transaction if the developer acquired the lot in the last 180 days and the purchase price has increased by more than 120%.
- **Non-Permanent Resident Aliens (Non-Perm) – Residency / Employment Requirements:**
 - 2 years employment in the same line of work and 2 years housing history (U.S. or abroad) or
 - Borrowers transferred by a company with offices in both a foreign country and the U.S.:
 - Documentation of transfer executed on corporate letterhead required.
 - First paycheck required to be in file prior to closing.
 - Borrowers who have been offered and sponsored for employment in the U.S. under an H1-B VISA:
 - Documentation of sponsorship required along with VISA.
 - First paycheck required to be in the file prior to closing.
- **Employment Authorization (Non-Perm):** reduced the borrower's employment authorization expiration period from 6 to 3 months.
- **Visa (Non-Perm):** reduced the visa expiration period from 6 to 3 months.
- **Employee Loans:** loan must be originated as a Full Documentation type only
- **Foreign Credit:** clarified that an unaffiliated certified translator must translate all document. Google translator is not permitted.
- **Credit Score Requirements:**
 - Raised the minimum score for additional borrowers from 540 to 600 on the following Programs Flex Supreme, Flex Select, and Select ITIN
 - Raised the minimum score for additional borrowers from 540 to 620 on the Second Lien Select Program.
- **Housing History Verification (Non-DSCR):** if the borrower is making payments to an individual or interested party, one of the following is required: A copy of the note/lease along with the consecutive most recent 12 months of cancelled checks, bank statements, or Venmo/Paypal documentation.
- **Incomplete Housing History (Non-DSCR):** All months in which the borrower has rented and/or had a housing history must be documented.
- **Seasoning (Housing Event / Bankruptcy):** housing events caused by a FEMA declared natural disaster does not count as a credit event instance.
- **Qualified Assets:** college savings accounts i.e., 529 plans are ineligible asset sources
- **Employment by a Relative:** All loans require Full Documentation.
- **Foreign Income:** reworded the requirements to expand and restrict; and when Foreign Income is used the loan must be priced as a Foreign National regardless of citizen status. If occupancy type is a Primary Residence, the loan would be priced as a Second Home.
- **Asset Documentation:** All pages of any statements provided for Asset Documentation are required. Summaries will not be accepted.
- **New Construction:**
 - Certificate of Occupancy, when required per municipality
 - Taxes must be based on the improved value. Unless otherwise documented from the title company, use 1.5% of the purchase price for qualifying.